

CREDIT ASSESSMENT MEMORANDUM

Funding Circle Holdings plc (LSE: FCH)

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Status: Independent Portfolio Project

Internal Risk Grade	Recommendation	Facility Amount	Pricing
B-	CAUTIOUS HOLD	GBP 75m RCF	SONIA + 280bps

1. Business Overview

Funding Circle is a UK-based SME lending platform that provides term loans and flexible credit facilities to small and medium-sized enterprises. The business generates revenue through transaction fees charged at loan origination, servicing fees earned over the life of the loan, and interest income on loans retained on its own balance sheet.

Funding Circle has demonstrated strong growth momentum, with revenue increasing 57% over two years from GBP 130.1m in 2023 to GBP 204.3m in 2025. Term loan originations grew from GBP 1,060m to GBP 1,638m over the same period, while the newer FlexiPay product scaled rapidly from GBP 234m to GBP 815m in transactions, contributing to a turnaround from a loss of GBP 9.9m in 2023 to a profit before tax of GBP 20.3m in 2025.

2. Financial Analysis

Metric	2023	2024	2025
Revenue (GBPm)	130.1	160.1	204.3
Revenue Growth %	n/a	23.1%	27.6%
Profit Margin %	-7.6%	0.5%	9.9%
Cost to Income %	54.9%	65.6%	69.5%
ECL as % of Revenue	n/a	5.4%	9.0%
NPL Ratio %	n/a	8.0%	6.6%
Debt to Equity	0.28x	0.47x	1.17x
ROE %	-4.0%	0.4%	8.9%

3. Interest Coverage and Debt Service Analysis

Metric	2023	2024	2025
EBIT (GBPm)	-9.9	3.8	20.4
Total Interest Expense (GBPm)	4.52	7.22	17.97
ICR	-2.19x	0.53x	1.14x
ICR Status	RED - CONCERN	RED - CONCERN	AMBER - WARNING
DSCR	1.5x	2.33x	1.75x

Interest coverage improved from 0.53x in 2024 to 1.14x in 2025, reflecting the turnaround in operating profitability. However, ICR remains below the 1.5x threshold considered adequate for a lender of this profile. Interest on bank borrowings estimated using SONIA (5.2%) + spread (1.3%) per Note 16 of the 2025 Annual Report.

4. Internal Risk Grade

Year	Score	Grade	ICR	DSCR	Profit Margin	D/E
2023	7	B-	-2.19x	1.5x	-7.6%	0.28x
2024	9	B	0.53x	2.33x	0.5%	0.47x
2025	6	B-	1.14x	1.75x	9.9%	1.17x

Funding Circle is assigned an internal risk grade of B- for the year ended 31 December 2025. This reflects improving profitability trajectory offset by thin interest coverage of 1.14x, rising ECL as a proportion of revenue, and debt-to-equity of 1.17x following rapid balance sheet expansion. Note: Funding Circle carries no public credit rating from Moody's, S&P; or Fitch. This internal grade represents an independent assessment in the absence of any external benchmark.

5. Key Risk Assessment

Risk 1 — Credit Risk

Funding Circle's expected credit losses have more than doubled from GBP 8.6m to GBP 18.3m in a single year, rising from 5.4% to 9.0% of revenue. FlexiPay, now representing 33% of credit extended, is a relatively new product whose credit performance has not been tested through a full economic downturn.

Risk 2 — Funding Risk

Funding Circle operates a capital-light model with 93% of lending funded by institutional investors. Bank borrowings nearly tripled from GBP 101.9m to GBP 267.3m in 2025. Cash reserves fell from GBP 187.6m to GBP 152.4m, suggesting increasing cash consumption as the business scales.

Risk 3 — Operational Efficiency Risk

Cost-to-income ratio remains at 69.5% in 2025, above the industry benchmark of 60%. Marketing expenditure increased from GBP 45.6m to GBP 62.0m. If revenue growth decelerates while costs continue rising, operating expenses risk outpacing income.

Risk 4 — Competitive Risk

Challenger lenders now account for 60% of gross SME bank lending in 2025. High street banks are re-entering SME lending with improved digital offerings, competing directly for Funding Circle's core customer base and compressing margins.

6. Proposed Covenant Package

Covenant	Threshold	Current (2025)	Headroom	Status
Minimum ICR	1.0x	1.14x	0.14x	TIGHT
Maximum Debt/Equity	2.0x	1.17x	0.83x	OK

Covenants tested quarterly, aligned with Funding Circle's financial reporting cycle. ICR headroom of only 0.14x confirms TIGHT status — a small earnings deterioration triggers breach. Historical analysis shows 2023 and 2024 would both have been in ICR breach under these covenants, validating the threshold design.

7. Stress Scenario Analysis

Scenario	Revenue (GBPm)	ECL (GBPm)	EBIT (GBPm)	ICR	DSCR	Status
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Base	204.3	18.3	20.4	1.13x	1.75x	TIGHT
Downside	183.9	23.8	4.7	0.23x	0.76x	BREACH
Severe	163.4	27.4	-9.2	-0.39x	0.08x	BREACH

Even a moderate deterioration (Revenue -10%, ECL +30%, SONIA +100bps) triggers ICR covenant breach. Under severe stress, ICR falls to -0.39x, indicating the business cannot cover interest from operations. The thin base case ICR of 1.13x leaves minimal buffer.

Bank of England Validation

BoE Financial Stability Report 2025 (Section 3.3) independently supports three key judgments: (1) B- grade consistent with broader UK corporate vulnerability with ~40-50% of corporates having ICR below 2.5x; (2) rising ECL assumptions consistent with SME arrears increasing to 1.5% on non-government guaranteed debt; (3) severe downside funding cost assumptions grounded in BoE sensitivity analysis projecting 300-500bps spread increases under stress.

8. Proposed Facility Structure

Parameter	Terms
Facility Type	Revolving Credit Facility
Facility Amount	GBP 75.0m
Tenor	1 year
Pricing	SONIA + 280bps (all-in 8.0%)
Est. Annual Interest	GBP 6.0m
Security	First charge over SME loan book and receivables
Renewal	Subject to covenant compliance and annual review
Reporting	Quarterly financial statements within 45 days of period end

Pricing set at SONIA + 280bps — wider than estimated current blended rate of SONIA + 130bps — reflecting B-grade, thin ICR, and rapid leverage expansion. Short tenor appropriate given stress scenario results showing covenant breach under moderate conditions.

9. Recommendation

RECOMMENDATION: CAUTIOUS HOLD

Funding Circle has demonstrated a compelling turnaround — revenue grown 57% from GBP 130.1m to GBP 204.3m between 2023 and 2025, and the company has moved from a loss of GBP 9.9m to a profit of GBP 20.3m. The B- internal risk grade reflects improving profitability offset by thin ICR of 1.14x, rapidly rising ECL, and leverage expansion with debt-to-equity reaching 1.17x.

Facility approved subject to: (1) quarterly covenant testing with minimum ICR of 1.0x and maximum D/E of 2.0x; (2) annual renewal review; (3) monitoring of ECL trajectory — stabilisation or reduction in ECL-to-revenue ratio required for grade upgrade consideration; (4) at least two full years of FlexiPay credit performance data.

Note: Five equity analysts (Deutsche Numis, Investec, KBW, Canaccord, Shore Capital) maintain Buy/Outperform recommendations with target prices of 190p-300p. This credit assessment does not contradict those views — equity and credit analysis address fundamentally different questions: growth potential vs debt repayment capacity.